

here in Europe. My relatives in Asia were more concerned and we were concerned for them, but there were no indications that this might be anything more serious.

The situation changed dramatically in mid-March. In a matter of days, it went from some odd thing on the other side of the planet, to full-on panic mode. Lockdowns, shops closing, mandated working from home, schools closed. Downtown Zurich went from being a bustling tourist city to a ghost town in a matter of days. The markets, of course, didn't know what to make of this situation, and uncertainty usually leads to panic.

In terms of trend following, we handled this situation far better than most discretionary traders. Sure, we entered the year with a concentrated bull market portfolio, but by the time of the panic in March, we already had had a slow market decline for a couple of months. The allocation had changed and in mid-March we already had a bear market portfolio on. We were short stocks and, perhaps more importantly, short oil. For those lucky enough to have suppressed memories of 2020, this was the year when the oil futures price went negative. In theory, you got paid for taking possession of a barrel of oil.

During this most chaotic phase, March and April, we could clearly see the value of the short side of trend following. During this phase, we lost nearly as much as the overall market on the long side of our portfolio, but we gained substantially more on the short positions. All in all, we showed a welcome gain while the markets lost. If you aim to attract professional investors, this type of behaviour can be extremely valuable. The ability to act as a hedge during times of market distress. Even if you end up giving much of these gains back, as we do here in the following months, professional investors will value the stabilizing effect that your strategy has on their overall allocation.

We lose the relative gain against the market in June and spent the rest of the year trying to catch up. In the end, we're not too far from the overall market and we do end with a modest double digit trading gain of nearly 13% (Figure 6.112). This wasn't the big victory we were hoping for, but it was a victory of sorts. 2020 was a horrible year any way you look at it, and we not only came out of it with a double-digit gain, we also saw a considerably lower drawdown than the market (Figures 6.113 and 6.114). Not a big win, but a win nonetheless.

The real action this year was in the agricultural markets, with that big comeback from a negative contribution of 5% all the way up to a positive